CHAPTER 2

WHY AUTHENTICITY?

> Where there's so much crap customers are craving authenticity.
>
> (Hall 2004, p. 42)
>
> People who are dedicated to wearing chucks never call them sneakers; chucks have always been a step apart from common or generic athletic shoes.
>
> (Peterson 2007, p. 2)

A TALE OF TWO BRANDS

Under the stewardship of *Quaker Oats*, *Snapple* shouldn't have failed – not if you believe in branding and marketing. *Quaker*'s strategy was simple – take a brand that had been built by amateurs to the next level through the application of marketing's famous four P's (price, product, promotion, and placement). The *Quaker* team did a superb job of developing market-driven innovations, accessing mass retailers, and investing in mainstream advertising. How could it be that four years after buying *Snapple* for US$1.7 billion, *Quaker* was forced to sell it for the markdown price of US$300 million (and some thought this too much)? Simple, the *Quaker* team forgot that consumers drank *Snapple* because of its quirks – consumption of this drink was a reaction to impersonal mass production and mass marketing. Drinking *Snapple* was a powerful cultural display in an age of conformity and artificiality (Deighton 2003). The very marketing amateurism evident in the pre-*Quaker* days gave the brand authenticity – the central driver of its equity.

M. Beverland, *Building Brand Authenticity*
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Contrast *Quaker*'s approach with Australian-based *Pacific Brands*' revival of the iconic *Dunlop Volley* shoe. After starving the brand of marketing investment (in innovation, channel support, and advertising) for years, *Pacific Brands* decided to reposition the shoe as an entry-level quality brand that people were not ashamed to own. These seemingly modest expectations belied the extent of the challenge facing *Pacific Brands*. Although the shoe had once been the only choice for Australian consumers and sportspeople, *Nike* and other global competitors had outflanked *Dunlop* by focusing on quality and fashion, dramatically shifting consumer expectations of athletic footwear. From number one seller in the early 1970s, by the 1990s the *Volley* was viewed internally as a commodity, by low-priced retailers as a loss leader, by specialist sports retailers as an anachronism, and by consumers as something the 'old man wore when mowing the lawns'. In short, the brand was a cash cow fast turning into a dog. *The Pacific Brands* team aimed to turn this around; although never in their wildest dreams could they have planned for what happened next.

During the late 1990s, Australian teens 'borrowed' their fathers' worn out *Volley*s from the garden shed and proudly began to wear them. Innovative teens were wearing this shoe as a semi-political statement – a rejection of *Nike*'s and *Adidas*' big budgets, high prices, and large sponsorship deals. *Pacific Brands* started to receive requests from editors of street managzines run by innovative teens, for advertising and free shoes. Suddenly the *Volley* was the hottest item on the street and in dance clubs. *Dunlop* could have exploited the shoe's sudden cool with a retro-inspired mass-marketing campaign. Such a campaign would have had short-term benefits – the shoe would become the latest fad – with no lasting impact on the brand's image.

Pacific Brands decided not to exploit the *Volley*'s adoption by teens. Instead they provided free shoes to street artists for sculptures, giveaways at raves, and unique shoes designed by up-and-coming teen designers. Eventually the in-crowd moved on. But the effect was obvious – the brand was seen as a reborn local icon – an authentic object reflective of the Australian way of doing better with less. The authentic response of the *Pacific Brands* team to teens resulted in increased brand equity at low cost (Beverland and Ewing 2005).

The contrast between these two brands sets the scene for this chapter. First, these examples raise questions about the nature and authorship of authenticity. Second, they suggest that a brand's authenticity is important to consumers, and therefore brand equity. Third, the examples